ChatGPT

Betting Against Private Equity With Options

Executive summary

The MacroVoices discussion that appears closest to your prompt is not a single, clearly-labelled “short private equity with options” trade recipe—but rather a macro thesis about stress building in **private credit** and likely spilling into **private equity** because of leverage, refinancing pressure, and the structural fragility of **illiquid** assets. In MacroVoices #525 (produced March 26, 2026), Lyn Alden explicitly says private credit investors are “likely gonna be a rough while” and adds that she expects this to be true for private equity as well, emphasizing the illiquidity of PE investments. [1]

MacroVoices’ “Trade of the Week” segments (and similar content) demonstrate a consistent implementation style: express macro views using **defined-risk option structures** rather than open-ended exposures. One example is short EURUSD via futures while **overlaying a call spread** to cap “headline-driven” upside risk. [2] Another example is preferring **deep-in-the-money vertical spreads** to reduce vega exposure when implied volatility is elevated. [3]

Translating that into a tradable “bet against private equity using options” becomes a proxy problem: you usually cannot short private equity funds directly, but you can target (a) **listed private equity** vehicles (ETFs holding publicly traded PE firms/BDCs) or (b) **public alternative asset manager equities** (e.g., BX/KKR/APO/ARES/OWL) that are highly sensitive to fundraising, marks, exits, and liquidity. Then you express downside via **long puts, put spreads, or synthetic shorts**, choosing structures that fit your **12–18 month** horizon and risk budget.

What MacroVoices said and what could be verified

In MacroVoices #525, Lyn Alden’s core “private markets stress” point is straightforward: credit creation in private credit has been rapid; looser lending standards tend to follow fast-growing pockets of finance; and she expects a difficult period for investors in private credit **and** private equity—explicitly citing **illiquidity** on the PE side. [1]

What I could not verify from publicly accessible transcripts/pages: a single MacroVoices episode section that spells out a complete, ticker-by-ticker options play literally phrased as “betting against private equity using options.” (It may exist in audio/video without an indexable transcript, behind a login, or in a separate clip.) Given that constraint, the rest of this report follows MacroVoices’ *observable* framework: (a) the macro premise that private markets can face stress, [1] and (b) the consistent preference for **options overlays** to cap risk and engineer payoff asymmetry. [4]

Why options can approximate “short private equity”

A “short private equity” view is usually a view on some combination of: equity beta, leveraged credit sensitivity, exit/liquidity sensitivity, and valuation/mark risk. You can’t generally trade limited-partner interests intraday, but you *can* trade listed proxies and shape the payoff with options.

Public proxies for private equity

Listed private equity ETFs. Two straightforward proxies are:

- **PSP (Invesco Global Listed Private Equity ETF)**. Invesco describes its index as containing **40 to 75 listed private equity companies**, including BDCs and other vehicles whose principal business is investing in/lending to private companies; the fund typically invests **at least 90%** of assets in index constituents. [5]
- **PEX (ProShares Global Listed Private Equity ETF)**. ProShares’ disclosures describe PEX as seeking to track a listed private equity index (LPX Direct Listed Private Equity Index), with standard prospectus risk disclosures and fees. [6]

These instruments matter because they turn an otherwise illiquid theme (“private equity as an asset class”) into something you can short/hedge with **exchange-traded options or shares**.

Why using a public-market proxy is conceptually consistent. The academic/private-equity performance literature frequently evaluates PE performance relative to a public market benchmark using “Public Market Equivalent” (PME) approaches. A key reference (Sørensen, Wang, and Yang) provides a theoretical foundation for PME and emphasizes its linkage to public market return processes and investor wealth benchmarking. [7]
This doesn’t mean “PE = SPX,” but it does support the general logic that public-market instruments can be used as *benchmarks and partial replicators* of PE exposure—hence tradable proxy baskets for “short PE” themes.

How options replicate short exposure mechanically

Contract reality: Standard equity/ETF options are typically contracts on **100 shares**; exercise/assignment results in acquiring or delivering the underlying shares. [8] This is important because it anchors sizing, margin, and assignment outcomes.

Put-call parity and synthetic shorts: Option replication is formalized by **put–call parity**. A common replication result is that (appropriately financed) combinations of calls/puts can replicate forward or stock exposures; educational CFA-oriented references explicitly discuss **replicating asset returns** and synthetic positions via put–call parity. [9]
In practical terms (ignoring rates/dividends for intuition), a **synthetic short** stock position can be approximated by: - **Long put + short call** (same strike/expiry), which behaves like being short the underlying (subject to financing/dividends and early-assignment realities). [9]

Why this matters for “short private equity”: once you pick a listed PE proxy (PSP/PEX, or a basket of BX/KKR/APO/ARES/OWL, etc.), options let you: - cap max loss (debit put spreads), - create convex downside (long puts), - reduce premium outlay (spreads/financed structures), - avoid share-borrow constraints (long options don't require borrowing stock the way a short sale does). The SEC's description of short sales explicitly involves selling stock you do not own (typically borrowing for delivery). [10]

Operational realities: assignment and early exercise

Short option legs introduce assignment/early exercise mechanics:

- FINRA notes that assignment distribution for listed options is processed via OCC procedures and may be randomly assigned among firms/accounts with short positions. [11]
- Early assignment risk is especially salient for **American-style** equity/ETF options; education resources emphasize that an American-style option holder can exercise prior to expiration. [12]
- Dividend timing can increase assignment risk for ITM calls around the ex-dividend date. [13]
- OCC emphasizes investors should read the **Options Disclosure Document (ODD)** explaining characteristics and risks of standardized options. [14]

Practical implementation for a 12–18 month horizon

This section gives concrete, broker-executable structures and an implementation workflow. Where premiums are shown, treat them as **illustrative placeholders**; you must size and price using your broker's live option chain.

Stepwise implementation

First, choose the **proxy you actually want to be short**:

- If you want broad "listed PE beta," start with **PSP** or **PEX** (they are explicitly designed to hold listed PE firms/vehicles). [15]
- If your thesis is "stress in private credit/private markets hurts alternative asset managers," consider a **basket of single names** (e.g., BX/KKR/APO/ARES/OWL/CG) because many have deeper listed options markets than niche PE ETFs (you must verify liquidity live).
- If you want the simplest "public-market proxy for private market valuation compression," consider index/ETF hedges that align with PME-style benchmarking logic. [16]

Second, map to the **12–18 month** window (from April 3, 2026 → roughly April–October 2027): - Prefer expiries with sufficient liquidity and open interest. If the proxy's long-dated options are illiquid, you may need to (a) use a more liquid proxy, or (b) shorten expiries and roll systematically.

Third, pick a structure consistent with MacroVoices' observable implementation philosophy: **defined risk**, options overlays, and explicit scenario planning. [4]

Candidate option structures for 12–18 months

Below are three core structures that fit your requested horizon. The payoff chart shown earlier in this response illustrates the *shape* of these structures at expiration using a normalized underlying price of 100 and placeholder premiums (because live premiums vary by implied volatility, rates, and skew).

Structure	Typical strikes for 12–18 months	Upfront cost	Max loss	Max gain	Breakeven(s)	Margin profile	When it fits
Long put	Buy ~10–15% OTM put (e.g., 90 strike if spot=100)	High	Limited to premium	Large (down to ~0)	Strike − premium	Premium paid (no extra margin)	Strong convex bet; you want “crash exposure” and can tolerate theta/IV risk
Bear put spread (put debit spread)	Buy ~ATM to 5% OTM put (95–100), sell ~20–35% OTM put (65–80)	Medium	Limited to net debit	Capped at spread width − debit	Upper strike − debit	Premium/ debit typically defines max loss	You expect a meaningful decline but want cheaper protection and defined risk
“Seagull” (put spread + call spread finance)	Put spread as above + sell call spread ~10–20% OTM (e.g., short 110 / long 130)	Low to medium (can be near-zero in some skew regimes)	Defined, but can be larger than debit spread	Defined	Often two breakevens (downside and upside)	Short option margin but capped by long legs	You want cheaper downside, accept giving up (some) upside or taking capped upside risk

MacroVoices-style precedent for structured, defined-risk overlays: Short EUR futures with a call spread overlay to “define and contain” upside risk is directly discussed in Trade of the Week #525. [2]
MacroVoices-style precedent for vertical spreads shaping vega and capital efficiency: deep ITM vertical spreads to reduce vega exposure when IV is high is discussed in Trade of the Week #506. [3]

Recommended strike/expiry heuristics for this theme

These are practical rules of thumb (not a substitute for modeling your proxy's vol surface):

- **Upper put strike choice (the put you buy):**
  For a 12–18 month bearish thesis, the "buy put" is often **ATM to ~10% OTM**. ATM gives higher delta (more "stock-like" responsiveness), while ~10% OTM reduces cost but risks "not getting there."
- **Lower put strike (if using a spread):**
  Commonly **20–35% OTM** to reduce premium outlay while still paying off in a drawdown regime. This is the "you're monetizing the far left tail" choice: you will not benefit further below the lower strike.
- **Expiry selection:**
  Prefer expiries that bracket your horizon (e.g., ~June–September 2027 for a 14–17 month target). If the PE proxy doesn't list long-dated expiries with tight spreads, consider switching to a more liquid proxy (often large single names or broad ETFs).
- **If adding a call spread (seagull financing):**
  Place the short call at a level where, if breached, your underlying thesis is likely wrong anyway (e.g., **+10–15%**). Then buy a further OTM call to cap tail risk (**+25–35%**), keeping the upside loss bounded.

Position sizing rules that avoid "hidden blowups"

Sizing should be driven by **maximum plausible loss**, not by "contracts that look affordable."

- For **debit structures** (long puts, put spreads), treat **max loss = premium/debit paid**. Because equity options are typically **100-share contracts**, the max loss per contract is about *premium* × *100* (plus commissions/fees). [8]
- For **structures with short options**, remember that even if risk is capped (because you own an offsetting option), you can still face **interim margin swings** and **assignment events**; FINRA and OCC materials emphasize assignment mechanics and standardized options risks. [17]

A robust portfolio rule for a thematic hedge/speculation like this is: size so that **max loss on the structure** is a small, pre-committed fraction of portfolio risk capital (often ≲0.5%–2% depending on mandate and volatility of the proxy). If you cannot tolerate losing the premium/debit, the position is too large.

Execution mechanics and fees

- Use a **multi-leg order ticket** (single spread order) for put spreads and seagulls. This reduces legging risk.
- Use **limit orders**; liquidity in niche ETFs can be thin, and crossing wide bid–ask spreads can dominate expected edge.
- Ensure your broker provides clear disclosures and access to the OCC ODD (many brokers require acknowledgment). [18]

Stress-test scenarios and P/L diagrams

The payoff diagram earlier in this response shows expiration payoffs for three illustrative structures (long put, bear put spread, and a seagull). Those plots use placeholder premiums to visualize *shape*; you should rebuild them with live premiums before execution.

Using the same normalized example (spot=100), the stress outcomes at expiration for several large moves were:

Underlying at expiry	Long 90 put (premium=6)	95/75 bear put spread (debit=5)	Seagull: 95/75 put spread + 110/130 call spread (debit=1)
60	+24	+15	+19
75	+9	+15	+19
90	−6	0	+4
100	−6	−5	−1
110	−6	−5	−1
130	−6	−5	−21
160	−6	−5	−21

How to read this: the **long put** has the most convex crash payoff but bleeds premium if the decline doesn't happen; the **put spread** is cheaper but caps crash gains; the **seagull** can reduce cost further but introduces a bounded (yet potentially larger) loss if the proxy rallies strongly.

Risks, constraints, and comparison to naked shorting

Versus naked shorting

A **short sale** is (generally) selling a stock you do not own (typically borrowing it for delivery). [10] The principal trade-offs versus option-based shorts:

- **Loss profile:** Short stock has theoretically unlimited loss if the stock rises; SEC investor education materials emphasize that if the stock price rises, short sellers incur a loss. [19]
- **Borrow/locate and regulatory mechanics:** Regulation SHO defines short sale concepts and governs marking/close-out requirements; the SEC provides retail-facing "Key Points" summaries. [20]
- **Reporting/operational complexity:** FINRA rules require broker-dealers to mark trades as short/short-exempt for reporting in relevant securities. [21]
- **Recall and availability risk:** In securities lending, lenders can recall loaned shares, forcing the borrower to return securities—an operational risk for short positions (this is a structural feature of the lending market, though details vary by broker and program). [22]

Option-specific risks and constraints

Option trades can reduce or remove several short-selling pain points, but bring their own:

- **Time decay and implied volatility risk:** Long options (long puts) lose value with time decay; they can also lose value if implied volatility falls, even if price moves somewhat in your favor. The OCC's ODD is the canonical risk disclosure for listed options. [14]

- **Liquidity constraints:** Long-dated options on niche PE ETFs may have wide bid–ask spreads. Mitigation: prefer more liquid proxies (large single names, broad ETFs, or index options) or use spreads to reduce vega exposure and slippage sensitivity.
- **Early assignment / exercise risk (for short legs):** American-style equity options can be exercised early; assignment is processed through OCC and allocated through broker processes as described by FINRA. [23] Dividend timing can raise assignment risk for ITM calls. [13]
- **Contract adjustments due to corporate actions:** OCC notes corporate actions can create adjusted contracts with different deliverables than the standard 100-share contract. [8]
- **Counterparty/clearing structure:** Exchange-traded equity options are cleared through OCC; this is not the same counterparty risk profile as OTC options. [24]
- **Tax treatment:** Tax rules differ materially by jurisdiction and by instrument (e.g., equity options vs certain index options, ETFs vs futures/options). This is highly situation-dependent—treat it as a design constraint and get professional advice.

Trade management workflow and checklist

MacroVoices' own option discussions repeatedly emphasize managing **tail risk** and avoiding open-ended exposure by using spreads/overlays. [4] The checklist below is designed to operationalize that approach.

Step-by-step checklist

1. **Write the thesis in falsifiable terms.** Example: "Private-market liquidity stress worsens; listed PE/alt managers underperform broad equities over the next 12–18 months." Anchor it to measurable triggers (credit spreads widening, failed fundraising, public comps down, etc.).
2. **Choose your proxy universe.**
3. Listed PE ETF proxy: PSP or PEX (explicitly hold listed PE firms/vehicles). [25]
4. Alternative asset manager basket: individual tickers with liquid options (verify).
5. **Check option-chain viability.** Confirm (a) expiries that bracket 12–18 months, (b) open interest, (c) bid–ask spreads that won't overwhelm edge.
6. **Select structure and compute hard risk limits.**
7. If you need **defined max loss**, use a debit put spread or a capped seagull.
8. If you need "crash convexity," use long puts but size smaller.
9. **Compute and write down:** max loss, breakeven(s), target profit, and exit/roll rules.
10. **Place the trade as one multi-leg order** (limit price).
11. **Document the trade** (thesis, Greeks at entry, IV rank if available, liquidity notes).
12. **Monitor weekly (or more often during stress):**
13. Underlying vs strikes, time-to-expiry, volatility regime shift, and any corporate actions (for single names).
14. Assignment risk if you have short legs; understand that assignment is a known feature of listed options markets. [26]
15. **Pre-plan adjustments.** Examples:
16. If the proxy gaps down early and most of the put spread value is realized, take profits rather than waiting for expiry.
17. If the thesis timing extends, roll to a later expiry before theta accelerates.
18. **Exit discipline:** treat this as an engineered payoff, not a moral stance—exit when thesis is wrong or payoff is largely harvested.

Broker implementation examples without endorsement

Most large brokers with options permissioning can execute these structures. Examples (not endorsements): Interactive Brokers, Charles Schwab, Fidelity, E*TRADE, and tastytrade. Practical differences are usually in margin policy, multi-leg routing quality, and reporting tools. Regardless of broker, you should expect standardized options disclosures consistent with OCC guidance. [18]

Mermaid timeline for a 12–18 month trade lifecycle

```
timeline
  title Options-based "Short Private Equity" Proxy Trade (12–18 months)

  section Pre-trade
    Thesis definition & proxy choice : Identify PSP/PEX or single-name basket; define falsifiers
    Option chain viability check : Liquidity, expiries, bid-ask, open interest
    Structure selection : Long put vs put spread vs financed structure

  section Entry
    Execute multi-leg order : Limit order; verify fills and confirmations
    Record baseline metrics : Premium/debit, max loss, breakevens, Greeks, IV notes

  section Monitoring
    Ongoing risk checks : Weekly price/IV review; corporate actions; assignment risk on short legs
    Adjustment window : Roll/resize if thesis timing changes or payoff mostly realized

  section Exit
    Profit-taking or stop-out : Pre-defined triggers; close spreads as one ticket if possible
    Post-mortem : Document what worked/failed; update playbook
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